

The CanExport SMEs program of Canada's Trade Commissioner Service is designed to encourage small and medium-sized enterprises (SMEs) to export Canadian goods and services to new international markets.

By sharing the costs of certain international business development activities and thereby reducing risk associated with entering new markets, the program enhances the export diversification efforts of Canadian small and medium-sized enterprises. By helping businesses to increase and diversify their exports, the program contributes to the expansion and growth in Canada of those businesses. The program supports Canadian companies that have meaningful economic ties to Canada, the potential to contribute significantly to Canada's economy, and the capacity and commitment to expand globally.

For more information on export diversification, visit: [Diversify your exports with the Trade Commissioner Service](#)

Successful applicants may receive up to \$50,000 to support eligible market development activities for existing products and services in foreign countries.

The total funding available from CanExport SMEs is limited and must be allocated on a competitive basis. There is no guarantee that applications will be approved. Once funds for the fiscal year are fully allocated, applications will no longer be assessed. A notice will be sent to concerned applicants.

The program has a service standard of 60 business days to complete the assessment of applications and to render a funding decision. Meeting this service standard depends on several factors, including the volume of applications received.

Program integrity is very important, and funding decisions are based only on impartial and objective consideration of information provided by applicants. The information provided in application forms allows the

program to identify and approve funding for the best-qualified businesses, based on the objectives of the program. Program officials also seek to ensure that funding is awarded equitably to businesses across Canada.

CanExport SMEs by the numbers and other government resources

The total funding available from CanExport SMEs is limited and must be allocated on a competitive basis. CanExport SMEs received 4,406 applications in the fiscal year 2024-25. Approximately 36% were funded, benefiting 1,575 businesses.

CanExport SMEs is one of many Government of Canada programs that support businesses. More information about the free TCS services can be found at www.trade commissioner.gc.ca. Information about other services of the Government of Canada may be found via the [Business Benefits Finder](#) or on the [International Trade and Investment](#) page.

CanExport SMEs is delivered by Global Affairs Canada as a complement to Canada's Trade Commissioner Service (TCS), and in partnership with the National Research Council's Industrial Research Assistance Program (NRC IRAP).

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1. Who can apply

Eligible companies

To be eligible, your small or medium-sized enterprise must:

- be established in Canada
- be for-profit
- be an incorporated legal entity, limited liability partnership (LLP), or cooperative in Canada
- have an active
- [Footnote](#)
- * Canada Revenue Agency (CRA) business number
- have between **1 and 500 full-time equivalent (FTE) employees**
- have between **\$100,000 and \$100 million in annual revenue** declared in Canada during its last complete tax reporting year (or during the last 12 months for monthly and quarterly filers)

Footnote *

"active" means a corporation that is not dissolved, amalgamated with another corporation or continued into another jurisdiction. More information can be found on Corporations Canada.

[Return to footnote](#)

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Example of how to count a full-time equivalent employee

Your company has 5 part-time employees on its payroll. Each employee works one day per week. Over one year, these employees represent the equivalent of 1 full-time employee.

Ineligible companies

All other forms of business relationships and structures are not eligible. This includes:

- sole proprietorships
- limited partnerships (LP)
- third-party representatives, including:
 - entities representing the interests of a third party, such as agents, promoters, sales representatives, and consultants
 - trading houses and export brokers (unless for the agriculture and agri-food sector)
 - distributors

- wholesalers acting as an intermediary
- franchisees (only the franchisor is eligible)

The CanExport SMEs program reserves the right to refuse applications from corporate entities that cannot demonstrate meaningful economic ties to Canada, even if they meet the above-stated eligibility criteria. For example, your application should clearly and specifically explain how your product or service is of Canadian origin, and if not, how the export of your product or service under your proposed CanExport SMEs [project](#) brings value to Canada (e.g. components of the product manufactured in Canada).

Legal authority

We identify companies by their Canada Revenue Agency (CRA) business number:

The applicant must have [legal signing](#) authority to apply for funding and then enter into a legally binding agreement with the Government of Canada should the application be successful.

A company applying on behalf of another entity identified by a different CRA business number, is not eligible. For example, a parent company is not eligible to submit an application on behalf of its subsidiary. A consultant is not eligible to submit an application on behalf of its client.

In addition, the applicant must legally own the goods and services intended for export.

2. How our funding works

Amount of funding and cost-sharing

In their applications, businesses must describe the activities that they wish to fund via the CanExport SMEs program. These activities are grouped into a "[project](#)".

There are minimum and maximum amounts of funding that applicants may receive from CanExport SMEs. Each project must require from the program at least \$10,000 CAD and no more than \$50,000 CAD per year. This means that the total cost of each project must be between \$20,000 and \$100,000 CAD, with 50% funded by the applicant and 50% funded by the program. In-kind contributions are not permitted.

Multiple projects

- A company may have only **one active CanExport SMEs project** at any given time.
- A company may have an active project with another CanExport funding stream.
- A group of [related](#) Canadian companies may apply concurrently to the program, provided their products and services are completely distinct from one another.
- Applicants must comply with funding limits as described in the relevant program guidelines.

Service standards

We aim to provide funding decisions **within 60 business days**. Meeting this service standard depends on several factors, including the volume of applications received.

Program integrity and disclosure of pre-existing relationships

Program integrity is very important, and funding decisions are based on impartial consideration of information as provided by applicants. The information provided in the application form allows the program to identify and approve funding for the best-qualified businesses, based on the objectives of the program. Program officials also seek to ensure that funding is awarded equitably to businesses across Canada.

Applicants must disclose pre-existing relationships and affiliations, including consultant(s), in the context of the project. Failure to disclose can lead to your application being rejected, or the termination of the grant or contribution agreement.

We seek to avoid abuse of the program via fraudulent applications. CanExport SMEs reserves the right to validate any information provided in your application.

Types of financial assistance

There are 2 types of funding: contributions and grants. The type of funding made available to an applicant is at the sole discretion of the CanExport SMEs program.

- **Contribution payments** are reimbursed after expenses are incurred and require detailed reporting. Applicants must be able to fully fund their activities upfront and activities must be completed, invoiced, and paid before claiming for reimbursement.
- **Grant payments** are provided in full per fiscal year and after signing the funding agreement. No claims are required to receive the funds. Recipients are required to report on results achieved.

Project periods

CanExport SMEs supports projects that have a duration of up to 12 months within a Government of Canada fiscal year, which begins on April 1 and ends on March 31 of the following calendar year (e.g. April 1, 2025, to March 31, 2026). The duration of a project is based on the timing of proposed activities.

In exceptional circumstances, projects spanning 2 fiscal years may be considered e.g. paying for trade show participation in one fiscal year and travelling to the trade show in the next fiscal year. Costs must be itemized by the fiscal year in which payments are made. Funds cannot be transferred between fiscal years.

When can I incur costs?

- Expenses must be incurred, invoiced and paid, and activities completed in the fiscal year for which the funding was provided.
- Approved projects (and any eligible expenses incurred) are eligible for funding from the date the project was submitted in a CanExport SMEs application, but no earlier than April 1 of the applicable fiscal year.

Are retroactive costs eligible?

- No. The program does not cover expenses incurred, invoiced or paid before the date the project was submitted in a CanExport SMEs application (which, for successful applications is considered the start date of the project). There are no exceptions.

Funding limits and conditions

Funding from other government sources

We enforce the maximum funding limit when an applicant receives funding from various Canadian government sources for identical

project activities. Total financial assistance from Canadian federal, provincial, territorial, municipal governments or Crown corporations **must not exceed 75%** of the costs of your project.

You must identify all sources of funding from all levels of Canadian governments for each expenditure submitted in your application. We will adjust our funding to comply with the stacking limit. **Failure to disclose** all sources may lead to:

- your application being rejected
- your active project being terminated and your CanExport SMEs funds being recovered

Multiple projects

- Companies can receive a maximum of \$99,999 in CanExport SMEs funding per government fiscal year. This includes funding from projects under the other CanExport [Funding and support programs for doing international business](#).

3. Sectors

CanExport SMEs is open to all business sectors. However, there are certain sector-specific considerations to consider as follows.

- **Agriculture and agri-food:** We support companies in this sector in collaboration with Agriculture and Agri-Food Canada (AAFC). Flagship events covered by AAFC's [Canada Pavilion Program](#) are **not eligible** for our funding. Companies may apply for CanExport SMEs funding to participate in international trade shows that are not supported by the Canada Pavilion Program events.

- **Recreational cannabis and substance inhalation:** We do not fund projects relating to recreational cannabis, tobacco, vaping or other similar industries. For projects focusing on medical cannabis, it is your responsibility to demonstrate how your products or services are intended for medical use and how they comply with Government of Canada policies.
- **Unabated fossil fuel energy:** Canada is a signatory to the Statement on International Public Support for the Clean Energy Transition (the "[Glasgow Statement](#)") that commits signatories to "end new direct public support to the international unabated fossil fuel energy sector by the end of 2022". Projects related to the extraction, production, transportation, refining and marketing of crude oil, natural gas or thermal coal that are not abated, as well as any unabated fossil fuel power generation projects, are not eligible.

Applications involving sectors where there are trade disputes or trade remedy investigations in foreign jurisdictions may be subject to additional assessment and could lead to the application being declined depending on the risk.

4. Eligible target markets

In their applications, businesses must identify [target markets](#). These are the countries (or, in some cases, regions within a country) where applicants wish to develop new export business.

Tips for selection of target markets

A successful international market development strategy starts with the careful selection of target markets and an assessment of the opportunities and challenges they present. The [TCS step-by-step guide to exporting](#), and in particular the recommendations in "step 2" regarding the number of markets on which to focus, provide an introduction to this.

Maximum number of markets

An applicant may identify **up to 5 target markets** per CanExport SMEs project. Plus, the following requirements must be taken into account:

- **Projects that target the United States (U.S.)** (any or all of the 4 regional markets into which the CanExport SMEs program divides the U.S.) may **not** include any other target market country.
- **Projects that target any country other than the U.S.** may **not** include the U.S. as a target market.

Spotlight on export diversification

Canadian exports are highly concentrated geographically, with around three-quarters of Canadian merchandise exports destined for the U.S. Canada's Export Diversification Strategy, announced in 2018, is about securing more opportunities for Canadian exporters to compete and succeed in thriving and fast-growing global markets and sectors. With trade agreements giving Canadian businesses and workers access to nearly two thirds of the global economy, Canada is one of the world's most trade-connected countries. Please consult the TCS website for more information on the

benefits of export diversification and how the Government of Canada can help.

[Diversify your exports with the Trade Commissioner Service](#)

Target markets should be related to the applicant's international business development strategy

The selection of target markets should be explained, including how it relates to the applicant's export business case (consult Section 6: "[How we evaluate applications](#)" for more information).

Target markets must be new

To help determine whether the markets are considered "new", CanExport SMEs looks at previous sales by the applicant in that market. Therefore, a market is eligible if:

- during the applicant's last complete tax reporting year (or last 12 months for monthly and quarterly filers), sales for that market were **less than \$100,000**
- sales generated in the target market were **greater than \$100,000**, then sales in the target market must be **less than 10%** of the company's total combined domestic and international sales

Other target market conditions

A country is not eligible to be a CanExport SMEs target market if any of the following apply:

- Canada has imposed [sanctions](#) on the market

- a sister or affiliated company offering the same products and services is already established in your target market (the applicant must clearly demonstrate in their application how they differentiate themselves from other companies already established in the market)

Sub-national markets

Brazil, China, India, and the U.S. are segmented into independent sub-national markets. Each sub-national market **counts as one** choice for the maximum of 5 target markets per project. You must also disclose export sales for your chosen sub-national markets.

Brazil is split into 4 sub-national markets:

East-Central Brazil

- Espírito Santo
- Minas Gerais
- Rio de Janeiro

North and West Brazil

- Acre
- Alagoas
- Amapá
- Amazonas
- Bahiaglas
- Ceará
- Distrito Federal
- Goiás
- Maranhao
- Mato Grosso
- Mato Grosso do Sul
- Pará

- Paraíba
- Pernambuco
- Piauí
- Rio Grande do Norte
- Rondônia
- Roraima
- Sergipe
- Tocantins

São Paulo

- São Paulo

South Brazil

- Paraná
- Rio Grande do Sul
- Santa Catarina

China is split into 4 sub-national markets:

East China

- Anhui
- Hubei
- Jiangsu
- Shanghai
- Zhejiang

South China

- Fujian
- Guangdong
- Guangxi
- Hainan
- Hunan

- Jiangxi
- Macau

North China

- Beijing
- Gansu
- Hebei
- Heilongjiang
- Henan
- Inner Mongolia
- Jilin
- Liaoning
- Ningxia
- Qinghai
- Shaanxi
- Shandong
- Shanxi
- Tianjin
- Tibet
- Xinjiang

West China

- Chongqing
- Guizhou
- Sichuan
- Yunnan

India is split into 3 sub-national markets:

North and East India

- Andaman and Nicobar Islands
- Arunachal Pradesh

- Assam
- Bihar
- Chandigarh
- Chhattisgarh
- Haryana
- Himachal Pradesh
- Jammu and Kashmir
- Jharkhand
- Lakshadweep
- Manipur
- Meghalaya
- Mizoram
- Nagaland
- New Delhi
- Odisha
- Punjab
- Rajasthan
- Sikkim
- Tripura
- Uttar Pradesh
- Uttarakhand
- West Bengal

South India

- Andhra Pradesh
- Kerala
- Karnataka
- Puducherry
- Tamil Nadu
- Telangana

West India

- Dadra and Nagar Haveli
- Daman and Diu
- Goa
- Gujarat
- Madhya Pradesh
- Maharashtra

The U.S. is split into 4 sub-national markets:

Midwest USA

- Illinois
- Indiana
- Iowa
- Kentucky
- Michigan
- Minnesota
- Missouri
- Nebraska
- North Dakota
- Ohio
- South Dakota
- Wisconsin

Southern USA

- Alabama
- Arkansas
- District of Columbia
- Florida
- Georgia
- Louisiana
- Mississippi
- New Mexico

- North Carolina
- Oklahoma
- Puerto Rico
- South Carolina
- Tennessee
- Texas
- U.S. Virgin Islands
- Virginia
- West Virginia

Northeast USA

- Connecticut
- Delaware
- Maine
- Maryland
- Massachusetts
- New Hampshire
- New Jersey
- New York
- Pennsylvania
- Rhode Island
- Vermont

West USA

- Alaska
- Arizona
- California
- Colorado
- Hawaii
- Idaho
- Kansas
- Montana

- Nevada
- Oregon
- Utah
- Washington
- Wyoming

Destination

A destination is defined as a country (or sub-national market) where the project activities take place. The "target market" and "destination" may be different.

It is not necessary for target markets and [destination](#) countries to be the same. At times, travel to a destination other than a target market may be required for business development purposes. When target markets and destinations are not the same, the applicant must explain how the activities proposed to take place in the destination country will support business development in the target market(s).

Example of a target market and destination

You want to secure new customers in France. A major trade show is being held in Germany and potential customers from France will be attending. In your project, the target market will be France and the destination for travel activities and participation in the trade show will be Germany.

5. Expenses and activities

Only certain types of business expenses may be supported by CanExport SMEs funding. These eligible expenses are described below and fall within the 8 categories listed.

For an expense to be valid the project activity:

- and the related expense must take place within the project start and completion dates specified in a company's funding agreement
- must fall within an approved category listed in a company's funding agreement and must be directly linked to one or more approved target markets

In all cases:

- payments must be made using a corporate or business bank account or credit card; if personal credit cards are used for travelling expenses, the company must reimburse the employee using a corporate or business bank account
- refundable GST, taxes, duties, and other items must be removed from the cost of the eligible expense
- tips and items paid with reward points must be removed from the cost of the eligible expense

Important: Linking activities

Applicants must link every activity for which they request funding to a new and eligible target market. We reserve the right to request any evidence in support of costs incurred or paid by your company, including work performed by consultants.

Any activities undertaken and associated costs incurred before a project has been approved are at the applicant's own risk. The

CanExport SMEs program accepts no responsibility for expenses already incurred by an applicant if an application is refused.

If an applicant is unsure about eligibility of any expenses, please contact us at canexportsmes@international.gc.ca before undertaking the activity and incurring the expense.

The CanExport SMEs program reserves the right to approve funding that is lower than the amount requested by the applicant. The program may adjust in respect of activities (or target markets) and eligible amounts for a variety of reasons, including alignment with assessment criteria.

Important: Review further guidance

In addition to the guidance on activities and expenses in Categories A through H, please ensure to review further guidance below regarding [consultants and contractors](#). With respect to expenses that are not eligible, there is also additional guidance further below beyond the individual categories.

Category A: Travel for meetings or events with key contacts

CanExport SMEs may support international travel expenses for attending trade events to meet with key contacts from target market(s) and/or conduct market visits.

We assess the international travel expenses by:

1. **Travel duration.** We evaluate travel duration based on the activities' scope and complexity.

1. Applicants must specify the travel dates, travelers, and planned activities for each trip.
 2. Per diem expenses are capped at 90 days total per project. Travel is payable only as part of a roundtrip from Canada and can include travel between a project's target market(s) and/or destination(s). Any given trip can be to a maximum of 30 consecutive days.
2. **Number of participants.** Travel expenses may be claimed for up to **2 travelers per trip**. To be eligible, travelers must be legally employed in Canada and on your payroll.

Funding is determined based on the estimated costs provided in the application. Applicants should provide reasonable cost estimates. High-cost estimates must be justified thoroughly and may affect the approval of the application. Receipts for expenses (e.g. accommodation, air travel) should be retained for **5 years** for audit purposes.

Travel-specific definitions

Airfare is a refundable roundtrip in economy or premium economy, departing from Canada to the approved destination, directly or with a layover. It must be booked and paid for after the project begins and completed before the project ends. Reward program points are not allowed. Airfare from countries other than Canada may be considered if costs are lower.

Higher class fares are typically not allowed but may be approved if lower than the cost of economy or premium economy on a direct flight.

Ground transportation relates to the use of a ride-share service, taxi, or public transportation in the approved country or destination. It also includes vehicle rentals and associated costs for gas, parking, and tolls, during the stay in the approved country or destination. Vehicle

rentals must be made via a reputable vehicle rental company and at reasonable costs.

Per diem consists of a total daily allowance of \$400 to support accommodation, meals, and incidentals for each eligible traveler on approved travel. This includes the departure and return days but may not exceed 30 consecutive days. Personal days must be deducted from the number of days claimed.

A **mandatory visa fee** is the cost to obtain a visa required for travel to an approved target market or destination.

Eligible expenses include:

- airfare
- seat selection for a flight to an approved target market or destination
- baggage fees for checked luggage or excess baggage
- ground transportation in the approved destination
- travel to and from the traveler's home or office to the airport
- airport parking
- per diems
- costs related to obtaining an electronic travel authority
- mandatory visa fee

Note: If you purchase a travel package that includes any combination of airfare, accommodation, meals, or rental vehicles you must provide an invoice with a breakdown of each component in your application.

Expenses that are not eligible include:

- travel within Canada (other than as noted above)
- travel expenses incurred in targeted markets or destinations not approved in a funding agreement

- expenses for employees already residing or based in the target market(s)
- long-term rentals or leases (e.g. cars, accommodation)
- travel costs for non-employees (e.g. consultants, interpreters, legal counsel, foreign partners)
- travel costs to conduct [core](#) activities such as training, logistics, meeting with established partners, setting up a legal entity and acquisition of capital assets (including real estate)
- reinstatement or refund of reward program points (e.g. Air Miles, Aeroplan)
- cell phone charges, including international roaming and data plans
- costs for passports or vaccinations
- use of a personal vehicle (employee or company vehicle)
- rental of premium or luxury vehicles
- insurance (e.g. travel, medical, rental, or car)
- hospitality (including bar tabs), entertainment, and gifts

Category B: Participation in trade events (non-travel related)

We may cover non-travel expenses for participation in international **trade events**. Trade events are defined as trade fairs, conferences, seminars, international forums or business exhibitions occurring in the approved target market or destination.

Participation must be in-person. Expenses associated with virtual events are no longer eligible for CanExport SMEs funding.

This funding is limited to Canada-based employees who are legally employed and on the company payroll.

The CanExport SMEs program reserves the right to refuse or amend applications that present cost estimates that are demonstrably false, excessive, unjustified, unreasonable, or not sufficiently detailed.

Eligible costs include:

- **Event attendance** by a maximum of 2 eligible travelers per event. The trade event must be named and have confirmed dates.
- **Participating as an exhibitor at a trade event** including:
 - registration for space or a booth
 - on-site booth design, assembly, and installation
 - booth rental
 - utilities like electricity and internet access
 - rental of business card scanners or audiovisual equipment
 - liability insurance
 - when membership or sponsorship is required for participation in an event, eligible expenses apply only to the lowest applicable tier or class (additional documentation is required)
- **Shipping and handling costs** for international shipping and transportation of items associated with event participation such as printed information materials, booth pop-ups, and products or prototypes, including return to Canada. Prototypes must be returned to Canada to be eligible for funding (costs for shipping prototypes that are not returned to Canada will not be reimbursed). For companies in the agri-food sector this includes the shipping of food samples.
- **Business meeting room rental.**

Expenses that are not eligible include:

- participation in a trade event or conference in Canada

- costs for the creation, hosting, or organization of a private event or workshop by your company in the target market
- knowledge-sharing events or invitations to speak on a keynote or panel
- participation in an event covered by the [Canada Pavilion Program](#)
- event sponsorship (unless it is a requirement for participation in the event)
- items purchased that can be re-used or repurposed
- customs fees and import duties

Category C: Marketing and translation

We support certain expenses related to marketing materials and translation that are tailored to target market(s). This includes creating, adapting, or translating content to meet specific market needs. Costs should be reasonable and support the objective of the project proposal. All activities must be carried out by an independent contractor with no affiliation to the applicant company, ensuring all transactions are conducted at arm's length and at fair market value.

Eligible costs include:

- **Creation or translation of new or existing promotional materials** that are required to explain or present an applicant's products and services from English or French to a language used in the target market. Promotional material includes brochures, pamphlets, flyers, banners, posters, post cards, content writing, copywriting, and digital magazine articles.
- **Adapting a website** which is defined as the cost of engaging an independent contractor to create a landing page for an existing website, adapt an existing website specifically for a target market. In all cases, evidence is required of how these activities

are tailored for the target market(s). Translation associated with this material from English or French to a language used in the target market.

- **Creating a new video or adapting an existing video for use at a trade event or in meetings with stakeholders.** Other supported costs include infographics, voiceover, animations, closed captioning, content writing, editing, and subtitles. In all cases, a detailed explanation of the product adaptation for the target market is required.
- **Advertising costs related to participation in a trade event.** Advertising must be targeted to audiences in the approved target market and cannot include advertising to other markets such as Canada. Advertising is defined as costs to advertise on an online industry publication or online magazine, costs to sponsor content (advertorial) or banner ads at a tradeshow or on a tradeshow website.

Expenses that are not eligible include:

- advertising, including:
 - the creation, adaptation, and translation of marketing materials (other than the items described above)
 - online advertising, including social media
 - traditional advertising (e.g. print or radio ads) and catalogs
- in-house activities, such as employee salaries **or activities considered core** and not specifically designed for the target market(s)
- giveaway items (pens, mugs, umbrellas, tote bags, t-shirts, etc.)
- production of samples and demos
- expenses relating to lobbying, advocacy, public relations, policy development and influence, including fees for influencers and key opinion leaders

- website application, maintenance, domain purchase, online management software tools, and platform hosting fees
- marketing and CRM software (SaaS) advertising tools
- photography
- fees to access online marketplaces and platforms (e.g. Alibaba, Amazon, TMall)
- subscriptions and fees to access e-commerce platforms (e.g. BigCommerce, Shopify, 3dcart, WooCommerce, Volusion, PrestaShop, Weebly, SquareSpace, Magento and Wix)
- search engine optimization (SEO)
- online store development
- stock footage and billboards
- any expenses related to branding, labelling, or package design
- any expenses related to direct mail campaigns (e.g. cold calling, telemarketing, email campaigns) including newsletters (in print and online)
- podcasts, webinars and testimonials and costs related to adapting or creating a blog
- A/B testing
- crowdfunding projects
- marketing collateral created for use by an in-market representative

See additional guidance on [consultants and contractors](#) below.

Category D: Interpretation services

We may support paying for an interpreter to facilitate in-person interactions with key contacts from target market(s). In your application, indicate the language for which you need interpretation. The interpreter must be an independent contractor, not affiliated with the applicant company in any way, and all transactions must be at arm's-length and at fair market value.

See additional guidance on [consultants and contractors](#) below.

Category E: Contractual agreements and supplier diversity certification

CanExport SMEs may support the adaptation and translation of contractual agreements and fees paid for supplier diversity certification in a target market(s).

Eligible costs include:

- Engaging with an independent contractor to adapt and/or translate sales contracts, distribution agreements, nondisclosure agreements, and other similar contractual agreements that are legally binding and that are required to penetrate a target market.
- Obtaining **Supplier Diversity Certification** by a recognized body for companies that are owned by women, Indigenous Peoples, visible minorities, or members of the 2SLGBTQI+ community. The applicant must clearly demonstrate that the certification is for use in and is recognized in the target market.

Expenses that are not eligible include:

- registration or legal fees to incorporate a subsidiary company in a target market
- any other costs related to contractual agreements, product registration, and certification

See additional guidance on [consultants and contractors](#) below.

Category F: Consultants - business, tax, and legal advice

We may support consultant or legal fees for expert business, tax, or legal advice that support entry of the applicant's product(s) or service(s) into the target market(s) identified in the project.

Eligible costs include:

- **Expert advice for legal, tax or business matters.** Fees paid to an accounting firm, a legal firm, or a business consulting firm for advice relating specifically to legal, tax, or business matters for your target market.
- **Expert advice on regulatory issues.** Fees paid to a consultant or legal firm for advice on issues such as market access and certifications relating specifically to your target market (including compliance with rules of origin).

Expenses that are not eligible include:

- fees related to implementing or managing any other strategies (e.g. digital and e-commerce campaigns)
- any other costs related to consultants for business, tax, and legal advice

See additional guidance on [consultants and contractors](#) below.

Category G: Consultants - market research, feasibility studies, identification of key contacts, business-to-business (B2B) facilitation

CanExport SMEs may support the costs for a consultant to provide services or create products for international business development (IBD) **for your target market(s).**

Eligible costs include:

- export market research, including market-entry strategies

- identification of key contacts
- facilitation of B2B meeting programs and matchmaking
- feasibility studies for the target market

The purchase of **information resources relevant to international business development** for the duration of your project may be eligible with appropriate justification including:

- prepared research studies or market evaluations
- contact lists from reputable sources
- market research software or subscription for the duration of your project

Expenses that are not eligible include:

- any other costs for market research, feasibility studies, identification of key contacts, and B2B facilitation

See additional guidance on [consultants and contractors](#) below.

Category H: Intellectual property (IP) protection

We may support expenses related to the protection of IP **in your target market**.

Eligible costs include:

- filing a patent or industrial design application
- application for the registration of a trademark or copyright
- IP professional services from a consultant and/or legal firm, including the development of an international IP strategy, database search, drafting, and/or filing of formal IP documentation

Expenses that are not eligible include:

- application fees for certification or protection of IP within Canada

- product development, production or distribution expenses
- maintenance and renewal fees for IP protection
- expert or legal advice related to IP disputes
- development of a Canadian IP strategy
- application for insurance of IP

See additional guidance on [consultants and contractors](#) below.

Additional guidance on eligibility requirements and related expenses for consultants and contractors

The following information provides additional guidance regarding using consultants or contractors in a CanExport SMEs project. This applies to activity categories C, D, E, F, G, and H.

An eligible consultant or contractor must:

- Be **independent** and unaffiliated with your company in any way. All transactions must be at arm's-length and at reasonable value.
- Have specific **expertise** not otherwise available within your company. They cannot be an in-market representative or employee that is conducting business on your behalf. Expenses are ineligible where there is indication of an employer-employee relationship or an affiliation.
- Be **based in Canada or a target market**. With sufficient justification, consultants and contractors based in a foreign market other than the applicant's target markets may be eligible.

Fees for the services of a consultant and/or contractor, including legal services, may be claimed for achieving the international business development objectives of a CanExport SME project. To be considered, your application must clearly explain the work that will be completed by the consultant/contractor. The expertise must be directly relevant to the scope of the project and its activities.

Fees for consultant/contractor services must be incurred and paid for work performed during the project timeline. Failure to demonstrate that the work was performed in the target market and during the approved project may render the claim ineligible.

A contract containing the scope of work and cost estimate is required between both parties. The program reserves the right to request any evidence in support of the work performed, including contracts, scope of work, and/or results of the work.

Important: Target markets

Products and services funded by the CanExport program must be used strictly for the export development of the recipient's target market(s). CanExport recipients cannot profit from the resale of products and services that were funded by their CanExport project.

Expenses that are not eligible include:

- travel or per diem costs for consultants or contractors (these fees must be deducted from the claim)
- retainer fees, monthly installments or advance fees paid to a lawyer or consultant - the program will only reimburse for services rendered
- consultants and contractors hired via freelance platforms

Other ineligible costs

CanExport SMEs will not fund:

- ongoing, operational activities, or activities that are considered core to the applicant's business and not specific to pursuing export opportunities in a new target market
- preparing a CanExport SMEs application or submitting claims
- capital costs and office supplies (such as computers, office equipment, audio-visual equipment, office space, supplies, and business cards)
- any expenses related to acquiring capital assets, including real estate
- overhead expenses (such as warehousing, long-term legal services, utilities, and photocopying)
- employee salaries, labour or wages, and commissions
- all costs that could be deemed to subsidize a product's selling price
- activities designed to attract investment or related to the development, production, and distribution of new products and services are not eligible.
- Goods and Services Tax (GST), including any GST share of the Harmonized Sales Tax (HST)
- any refundable portion of taxes, duties, or other items for which a refund or rebate is available (e.g. carbon taxes and credits)
- expenses for activities taking place outside the project phase of the funding agreement
- expenses related to non-specified activities, such as those marked "To Be Confirmed"
- registration or legal fees to incorporate a subsidiary company in a target market
- honoraria for professional services
- training costs
- costs associated with developing or building a prototype for target market(s)

6. How we evaluate applications

Once an application has been submitted, it will be assessed by program officials. Applications are assessed using the following criteria that follow. Applications that are consistent with this Applicant's Guide and that present clear, concise, well-justified projects will have the shortest assessment times. This includes applications that describe specific, time-limited activities (e.g. participation in named events), and present clear lists of expected costs.

The program bases its evaluation of a project solely on the information provided in the application. We reserve the right to refuse an application for the following reasons:

- incomplete applications
- applications where information has not updated since the last submission
- applications that provide limited information, preventing an adequate assessment against the program's evaluation criteria
- applications that provide information in the business case and budget that cannot be assessed properly or independently verified

Criteria

A) **Pursuing new or expanded initiatives** ("incrementality")

We assess applications based on the following:

- represents new or expanded initiatives aligned with the company's international business development goals and goes beyond the company's core activities

Important: Applicants who have had a previous project approved

New applications should clearly explain how the new project builds on or makes changes to the previous project, highlighting any changes in strategy or focus. For example, the application should explain changes or not to the international business development strategy; indicate rationale for repeat markets or activities; and provide any other relevant information that may help in the evaluation of your application relative to the assessment criteria below.

Note that the program will give priority to clients who have not previously received funding through CanExport SMEs.

B) Export business case

In assessing the likelihood of the project to achieve meaningful commercial outcomes, the program will evaluate whether:

- the objectives, activities and expected outcomes of the project are realistic
- the proposed activities and expenses are specific (such, participation in established commercial events with fixed dates) and reasonable

C) Market potential

The program will assess the choice of target markets by reviewing if the applicant has demonstrated in their application that they have considered the commercial potential of their product or service in the target market(s), such as via market research or gathering other information.

D) Exporting readiness and history

We will review the applicant's:

- capacity in terms of human and financial resources to undertake the proposed activities
- previous export history
- past interactions with CanExport, the TCS, and partners of Global Affairs Canada (GAC)
- explanation of how their products or services are commercialized or ready for export

The program will:

- consider performance on previous CanExport projects approved for the applicant
- expect the client to claim the majority of the funds awarded

Funds previously approved but not used without reasonable explanation may result in refusal of subsequent applications.

Failure to comply with any conditions of a previously funded project will be considered in the evaluation of a new application.

Spotlight on export readiness

An export-ready business is one that has the capacity, resources and management to deliver a marketable product or service on a

global scale at a competitive price. For more information, visit the TCS website to help assess your [export readiness](#).

E) Thematic priorities

We give special consideration to:

- The proposed project's alignment with the [Government of Canada's Export Diversification Strategy](#). The program will prioritize applications that most clearly focus on export diversification.
- Projects whose target markets are covered by bilateral or regional [free trade agreements](#).
- Applications submitted by businesses owned or led by groups that are traditionally underrepresented in international trade such as women, Indigenous Peoples, Black Canadians, LGBTQ2+, visible minorities and young entrepreneurs.

7. How to apply

Applications are submitted on the CanExport SMEs [online portal](#) and there are several steps.

7.1 Account registration and profile updates

New clients can register for an account at any time during the year. Returning clients may update the information in their account profile and manage their contacts.

New applicants

1. Register for an account on the [online portal](#).

1. **Note:** The portal is optimized for Chrome, Edge and Firefox.
2. Fill in information under **My Profile** and click **Update**. The program will review the information submitted and will notify applicants by email within 7 business days.
2. If you receive an email stating Account Creation Verification: "Criteria Met", the **Primary Account Contact** must then complete the **Account Profile**.
 1. For more information, refer to Help tab in the portal, click on "**CanExport SME**", and then the document, "Manage Portal Contacts and Roles".
3. Once the Account Profile has been submitted, complete and submit the **CanExport SMEs Application**.
 1. Click on My Applications tab > CanExport. On this page, click New Application > SME.
4. Submit your application **at least 60 business days** before the start date of the first proposed activity.

Returning applicants

1. **Sign in to the online portal.** Returning clients should not register for a new account.
2. **Update company information under My Profile.** The Primary Account Contact must update the Account Profile.
 1. For more information refer to Help tab > CanExport SME and the document Manage Portal Contacts and Roles.
3. **Once updated, complete the CanExport SMEs Application.**
 1. Click on My Applications tab > CanExport. On this page, click New Application > SME.
4. Submit your application **at least 60 business days before** the start date of the first proposed activity.

New and returning applicants: New document requirements

Clients are required to upload the following documents during the CanExport SMEs application process.

Articles of incorporation

All applicants must upload their company's articles of incorporation. This is to help verify company credentials and prevent fraud. Required documents are available via Service Canada or Revenu Quebec. This step must be completed with each new application.

Declared annual revenue

As part of the basic eligibility process for new and existing clients, applicants must upload via the online platform a copy of their company's GST 34 return or FPZ-500-V for Quebec based applicants. This is to more efficiently verify a company's eligibility. Required documents are available via Service Canada or Revenu Quebec accounts.

The amount from the following section of a company's taxes from the last completed fiscal year should be used:

- line 101 of the GST 34 return for most of Canada
- FPZ-500-V for Quebec based applicants

For monthly and quarterly filers, please use the most recent 12-month period.

We do not grant exemptions to the annual revenue eligibility requirement for companies that:

- have not achieved revenues of \$100,000 during their last complete tax reporting year (or during the last 12 months for monthly and quarterly filers)
- achieved revenues of \$100,000 but do not have the required financial information described above (GST 34, FPZ-500-V)

Companies that have not filed their reports or do not meet the revenue eligibility requirement should apply only after obtaining the necessary financial information.

Once an application has been submitted, it cannot be edited or changed. You will receive a confirmation email, including a unique identifier for use in all correspondence with the CanExport SMEs program.

8. Application results

Decisions on applications are sent by email to the person identified in the Legal Signing Authority section. **All funding decisions are final and non-negotiable.**

Any expenses incurred or paid before the funding agreement is signed at the applicant's own risk.

CanExport SMEs will only communicate with individuals identified in the application. The person identified as the Legal Signing Authority may designate another individual by sending us an email to canexportsmes@international.gc.ca.

Unsuccessful applicants

To be reconsidered, applicants must submit a new project for review, considering the program's comments.

Successful applicants

Recipients can expect to receive their funding agreement by email **within 20 business days**. An authorized individual of the firm will need to **review, sign, and return** the funding agreement **within 20 business days** of the date of receipt.

If the funding agreement is not returned within 20 business days, the funding will be considered forfeited.

The funding agreement is a legally binding document. It stipulates the responsibilities and obligations of both signing parties: The recipient and CanExport SMEs, on behalf of GAC.

The funding agreement outlines:

- project start date
- project completion date
- approved target markets
- approved activities
- funding amounts (by fiscal year in case of multi-year projects)
- reporting requirements

The National Research Council's [Industrial Research Assistance Program](#) (NRC IRAP) manages all funding agreements, processes claims and issues payments. All questions regarding funding agreements, claims and reporting should be directed to NRC IRAP (nrc.canexport.cnrc@nrc-cnrc.gc.ca).

9. Definitions

Core activities:

Refer to the essential tasks and operations that are central to the company's business model and success. These activities are directly

related to the production and delivery of the company's primary products or services.

Destination:

A country (or sub-national market) where the project activities take place. The "target market" and "destination" may be different.

Legal signing authority:

The owner(s) or an employee with the authority to sign on behalf of the applicant company. The individual's contact details must be properly indicated in the company's online account profile and cannot be that of a consultant.

Project:

The ensemble of activities for which a company requests funding in its application. It should not be confused with a company's broader expansion plans.

Related companies:

Includes but is not limited to parent company and subsidiaries, franchises, sister companies, and affiliates.

Target market:

A country (or sub-national market) where a company intends to do business. It is not a continent, geographical area, or group of countries. Activities in the application must be directly linked to the target market.

10. Contact us

If you have further questions on the program, please contact canexportsmes@international.gc.ca.

Please contact the NRC IRAP (nrc.canexport.cnrc@nrc-cnrc.gc.ca) if you have questions about:

- the funding agreement
- reporting
- claims

If you are having difficulty with our online application system or technical problems related to your account, please contact nrc.canexport-help-aide-canexport.cnrc@nrc-cnrc.gc.ca.

11. Recipient's guide

If you have received CanExport SMEs funding, the Recipient's Guide provides essential information on how to manage your funding, meet reporting requirements, and comply with program guidelines. Review the guide to ensure you understand:

- payments
- amendment to the funding agreement
- closing a project
- reporting requirements
- contacts

For full details, access the [recipient's guide](#).